

Guarding Tomorrow, Today.



ATLAS INTELLIGENCE
— SECURITY CONSULTANCY GROUP —

State of Security Report

— Andean Region: Bolivia, Ecuador, Peru, Chile —

ON BEHALF OF HECLA MINING CO. (U.S.A.)





Mission Statement

– Security Report: *Bolivia, Ecuador, Peru, Chile*



Hecla Mining Co.'s RFI: Andean Security Assessment

- Focus Countries: Bolivia, Ecuador, Peru, Chile
- Focus Profile: Industrial Sector / Mining
- Intelligence Collection: IMINT, HUMINT, OSINT
- Atlas' Objective: Security Briefing + Next Steps

Agenda: Andean Security Overview

1. Collateral Risks Analysis: Emerging Security Dynamics
2. *Hecla Co.* as a Direct Target: Localized Security Threats
3. Comparative Analysis: Evaluating Impacts and Likelihoods
4. *Atlas'* Operational Mitigation Strategies: Reducing Vulnerabilities

Andean Region *Bolivia, Ecuador, Peru, Chile*



Atlas Intelligence
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Situation Report: Bolivia

– Collateral Risks: Emerging Security Trends

(!) Heightened Risk of Violent Protests in 2025 Election Run-Up

- Organised crime groups
 - Border Areas and Inland Bases (Santa Cruz, Cochabamba, Oruro)
 - Homicide rates 4.0, but excessive risks in these areas
- Petty Crime – Targeting Foreigners: Airports, East Santa Cruz, La Paz, El Alto
- Widespread Protest Culture – high probability of protest eruption
 - Current political instability exacerbating risk of violent protests (2025 elections)
 - Heightened Vulnerability: Santa Cruz, La Paz, Cochabamba, Sucre
- Operational Mitigation Measures
 - Pre-travel training
 - Discreet non-armoured vehicles and personnel



Situation Report: Bolivia

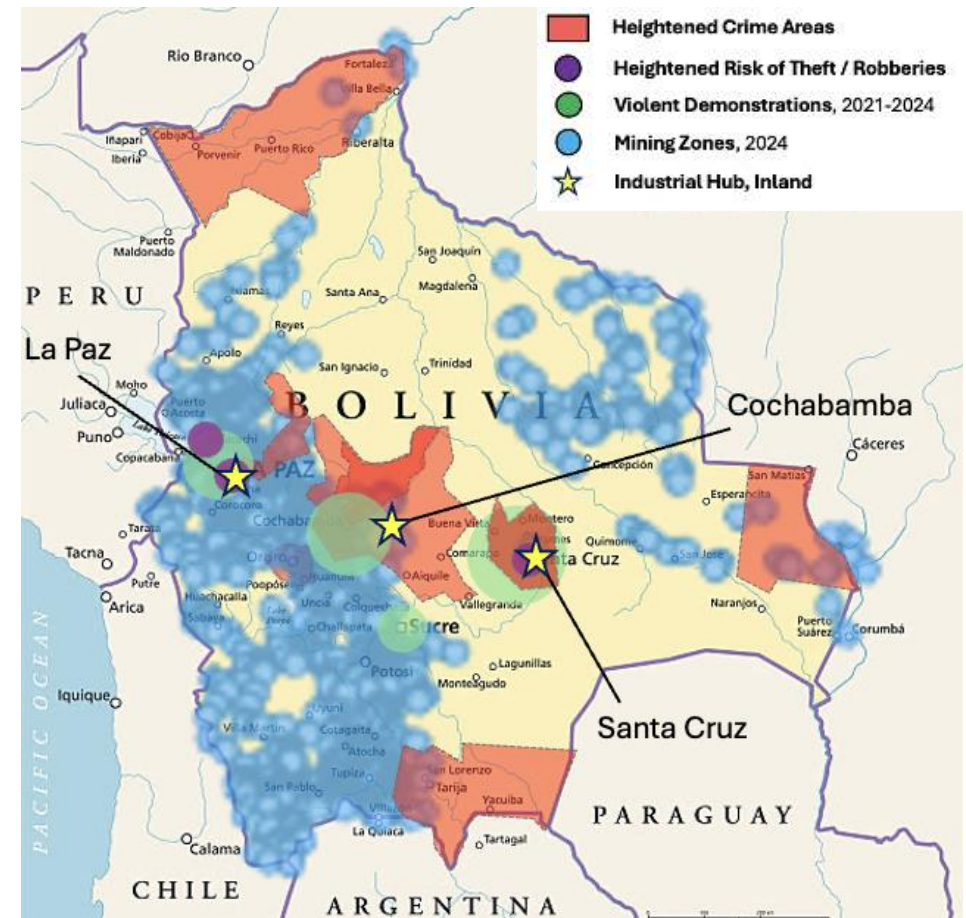
– Hecla Mining Co. as a Direct Target: Localized Security Threats

Intel Results: Industrial Activity **within potential Risk Areas** (!)

- **Disruptive Protests Against Mining Companies:** Led by local indigenous groups; centred around social and environmental concerns
- **Cases of Corruption and Extortion:** Corruption perception Index is 29/100; Often local authorities submit to the influence of local groups/gangs

Operational Mitigation Measures

- Community dialogue, outreach and benefit programs
- Armoured personnel



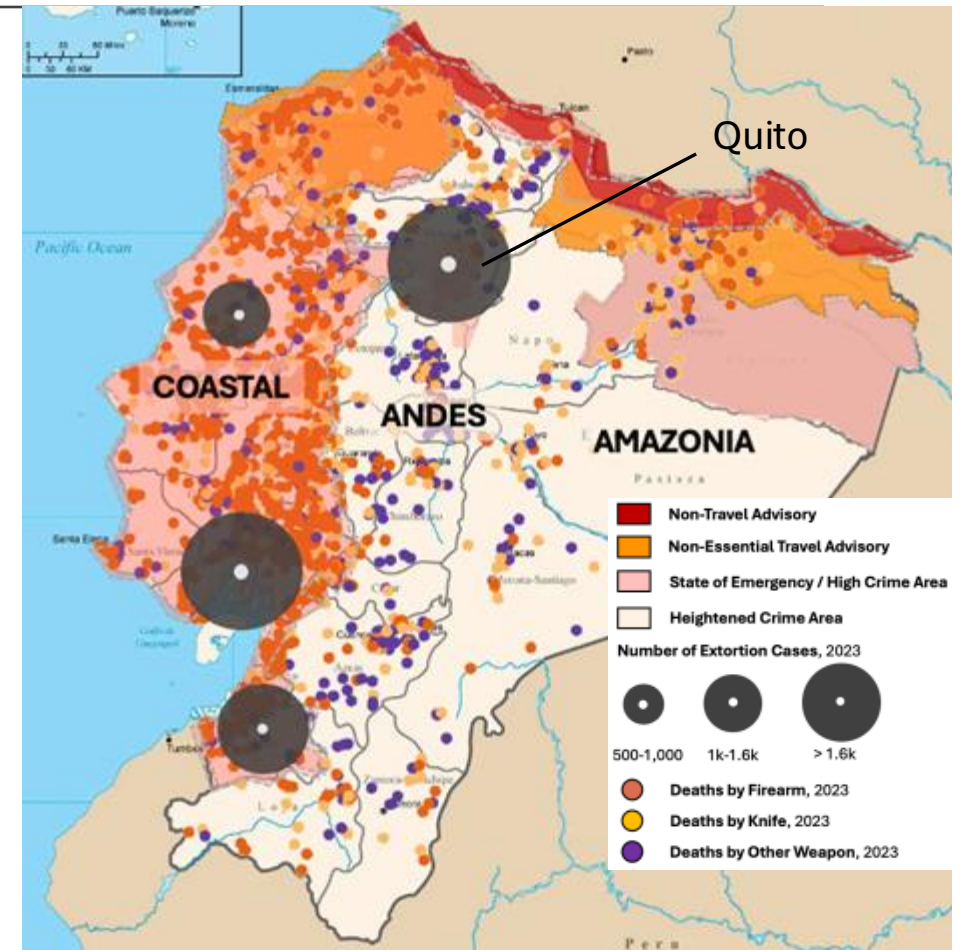
Situation Report: Ecuador

– Collateral Risks: Emerging Security Trends



(!) Current State of 'Internal Armed Conflict'

- Extended State of Emergency (SoE) until December 2, 2024
 - SoE Curfews 22:00-05:00 → heightened risk of gang retaliation
 - warrantless searches/seizures; limited movement; collateral damage
- Hazardous Homicide Rate: highest in Latin America (2023: 45/100,000p)
 - Rise in Child Recruitment (!): 2019-2023 child homicides increase by 640 %
- Volatile Border Areas: high organized crime + narco-terror violence
 - FARC factions within 20 km of Colombia-border
 - Local gangs (1) Lobos / (2) Chonores + Mex./Col./Alb. Narcos Cooperation
- Novel Risks: rise in (1) kidnapping, (2) robbery; (3) **violent extortion (!)**
 - Extortion targeting local/multinat. businesses: 200 % increase 2022-2023





Situation Report: Ecuador

– Hecla Mining Co. as a Direct Target: Localized Security Threats

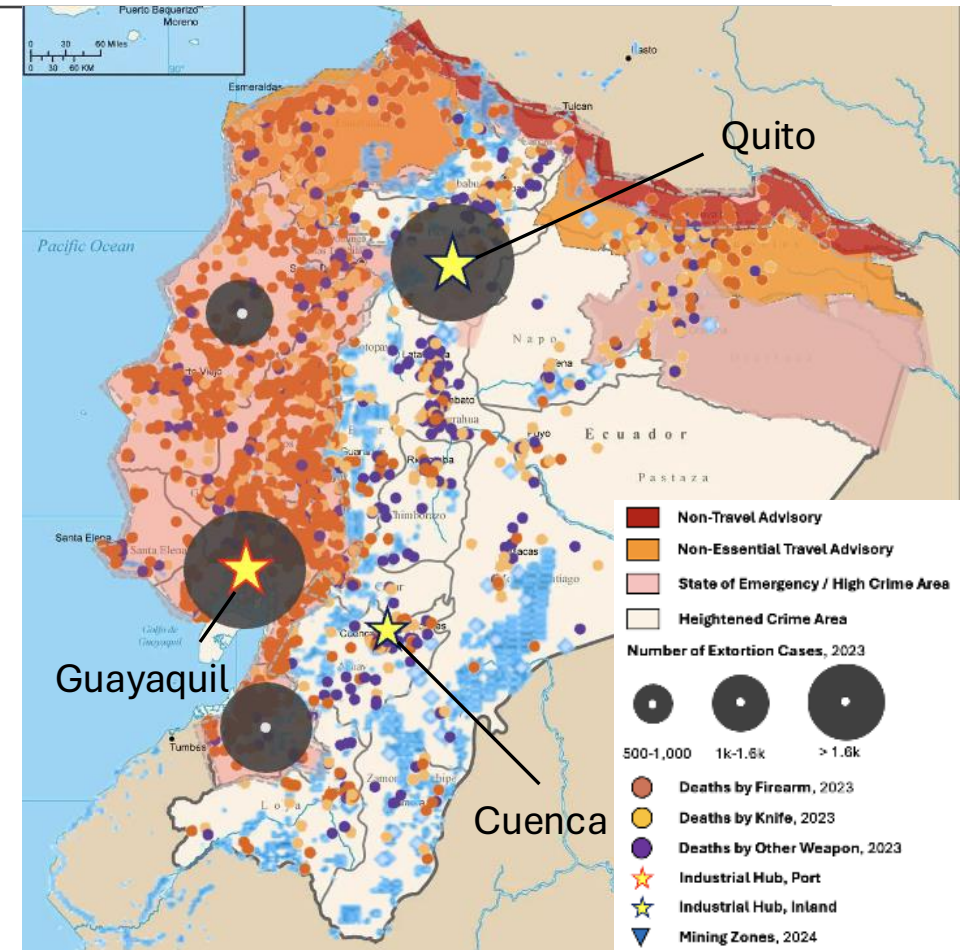


Intel Results: Industrial Activity **within Acute Risk Areas** (!)

- Industrial Hubs – *Quito, Durán, Cuenca*: extortion, gang violence
- Industrial Port – *Durán/Guayaquil*: narco infiltration, extortion
- Mining Zones – *Lobos (!)-controlled territory*: extortion, theft, kidnapping → heightened danger: **remote sites** (!)

Operational Mitigation Measures: increase security costs

- Industrial / Mine Sites with close proximity to law enforcement
- Government cooperation → **risk of corrupted state officials** (!)
- (trusted) Private Security Services → **risk of infiltrated PSCs** (!)
- Gated Community / Private School → limit child's exposure to public





Situation Report: Peru

– Collateral Risks: Emerging Security Trends



(!) Heightened Risk of Social Unrest

- **Frequency of Street Crime**
 - 28% of urban Peruvians victims of crime in the last six months, esp. in port cities
- **Social Unrest**
 - Blockades of infrastructure points / disruption of supply chains around Puno
 - Violent Clashes between police and protesters (Dec '22-March '23 600 injuries, 60 deaths)
- **Rising Femicides**
 - 259 reported cases in 2023 vs. 136 in 2022; VRAEM region affected
- **Expansion of Drug Trafficking Routes**
 - Rapid expansion in Amazon Basin & VRAEM region; clashes

Operational Mitigation Measures

- Avoid VRAEM, Amazon basin & Greater Puno region
- Implement security trainings & flexible logistic plans incl. alternate routes (choosing roads closer to the coast than the inland)





Situation Report: Peru

– *Hecla Mining Co.* as a Direct Target: Localized Security Threats

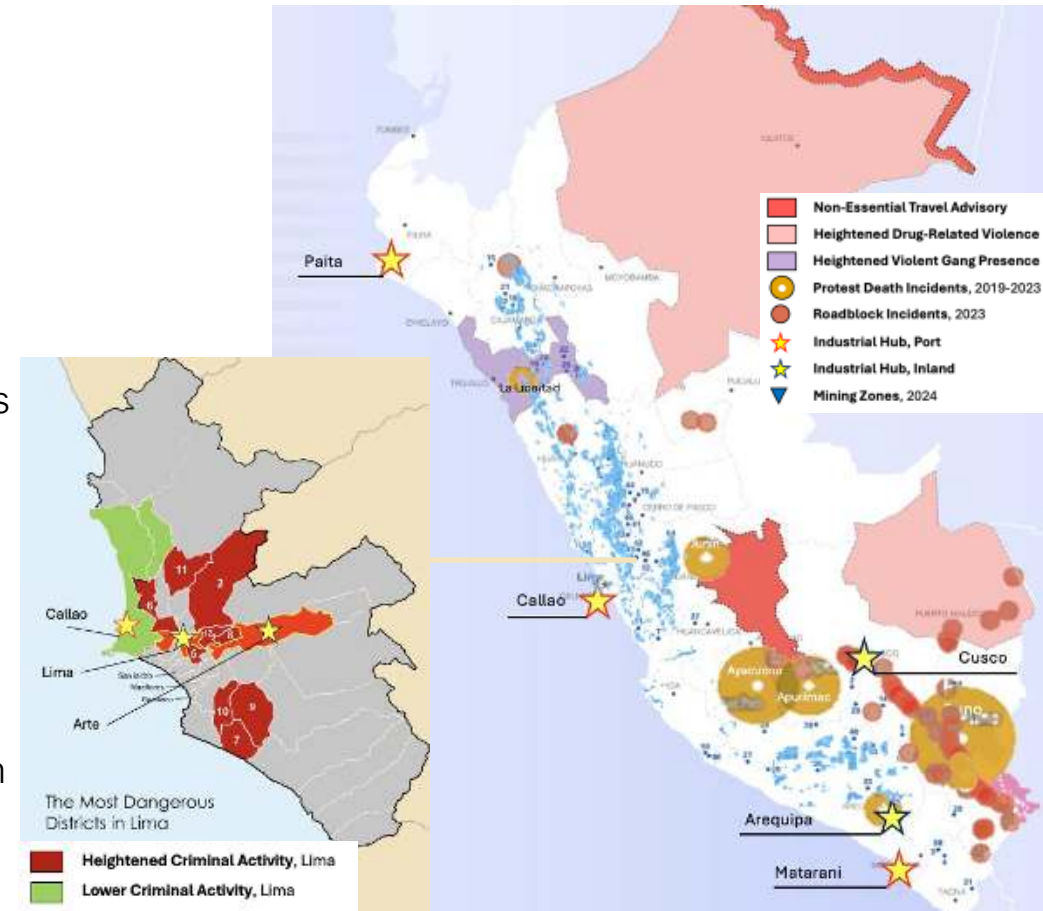


Intel Results: Industrial Activity within Low & Medium Risk Areas

- (!) Exception: Avoid South-East around Puno & Apurimac
- (!) In Lima City → Lima District + Arte District in Higher Risk Area
- Currently, state of emergency in some of Lima's districts because of rise of extortion targeted at businesses
- Organized Crime: violent illegal mining groups – frequent attacks in La Libertad (e.g. La Poderosa saw 14 in the last 2 years involving casualties)
- Anti-mining protests: halting of operations by local protesters due to environmental & social concerns

Operational Mitigation Measures

- Heightened security incl. worksite fencing & security personnel
- Strengthened focus on local community relations to strengthen reputation



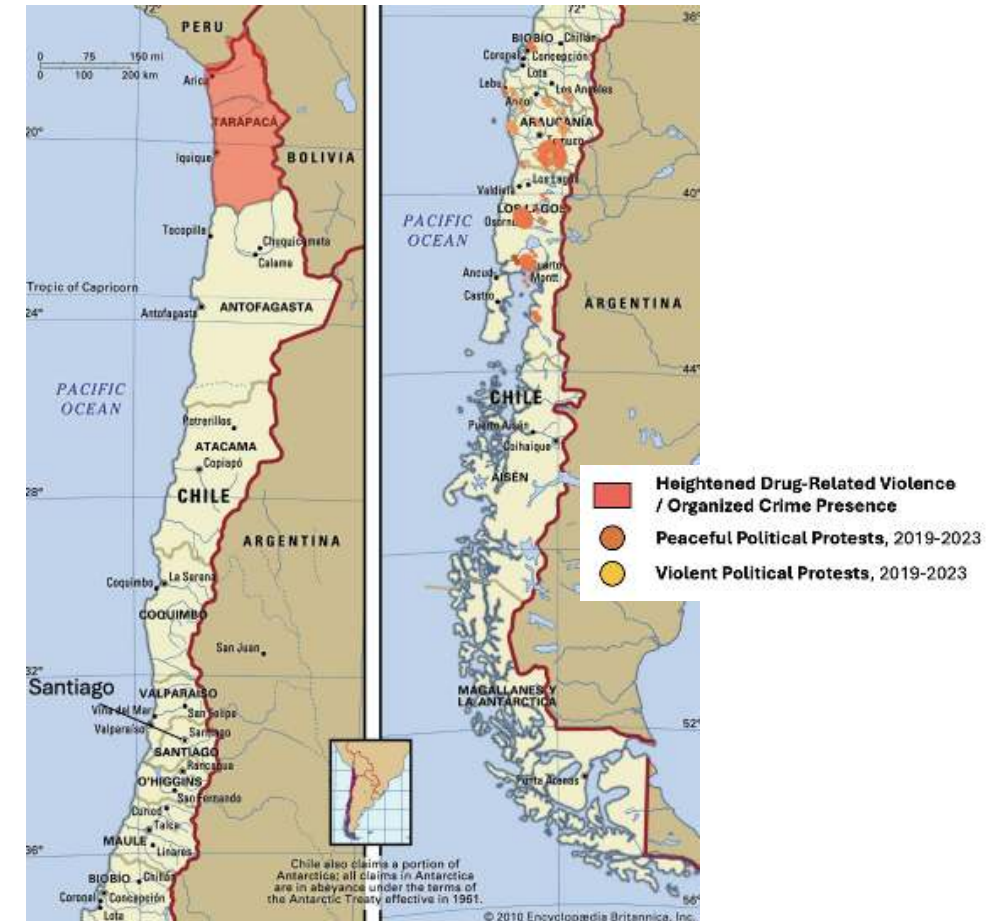
Situation Report: Chile

– Collateral Risks: Emerging Security Trends

(!) Growing Trend: Rising violent crime rates

High Risk Border-Area: homicides

- Arica y Parinacota regions had highest homicide rate in the country in 2022, with 17.1 murders per 100,000 inhabitants (AthenaLab report)
- Organised Crime and illegal trafficking: (migration crisis + transnational criminal organizations)
 - Human smuggling
 - Human trafficking
 - Drug trafficking
- Operational Mitigation Measures
 - Security training and awareness programs
 - Physical and operational security measures (close collaboration with local authorities and private security companies)



Situation Report: Chile

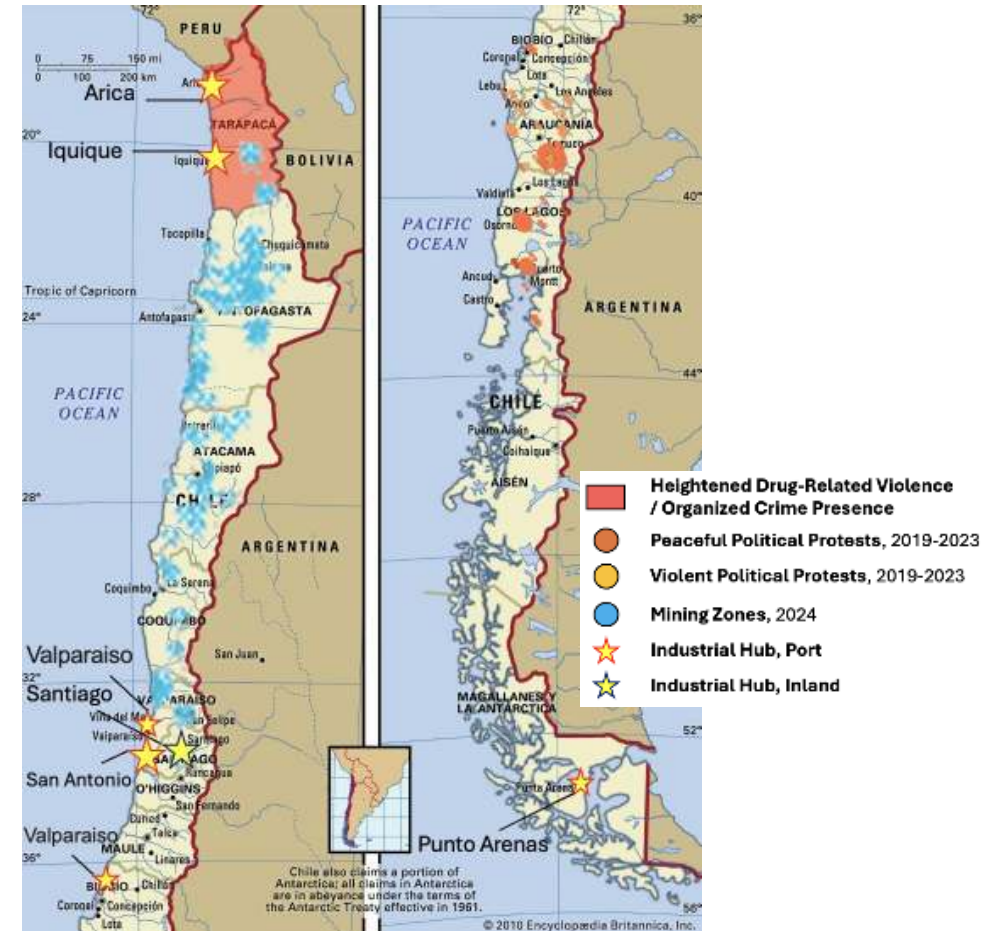
– *Hecla Mining Co.* as a Direct Target: Localized Security Threats

Intel Results: Industrial Activity within Lower Risk Areas

- **Exception:** Avoid Northern regions close to borders insecurities (Arica y Parinacota and Tarapacá Risky Areas (!) Iquique port: hubs for weapons and drug trafficking
- In Central/Southern Chile, avoid regions Araucanía and Biobío (Mapuche conflict)
- Social opposition: blockades, demonstrations, sabotage, property damage etc.

Operational Mitigation Measures

- Increased Focus on CSR initiatives
- Strategy: mitigating opposition before it escalates into direct action





Comparative Analysis

— Weighing Impacts & Probabilities



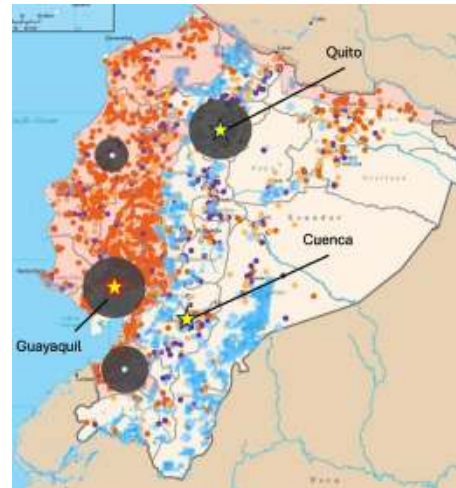
Bolivia



Main Risks

- Targeted Protests
- Corruption & Extortions
- Social Unrest
- Street Violence

Ecuador



Main Risks

- State of Emergency
- Violent Extortions
- Local Gangs
- Theft/Armed Robberies

Peru



Main Risks

- Street Violence
- Social Unrest
- Organised Crime
- Anti-Mining Protest

Chile



Main risks:

- Street Violence
- Organized Crime and illegal trafficking
- Social Unrest



Comparative Analysis

— Weighing Impacts & Probabilities



Collateral Risks



Direct Risks



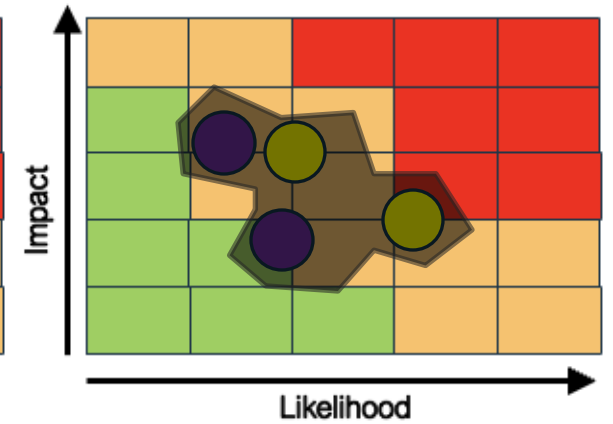
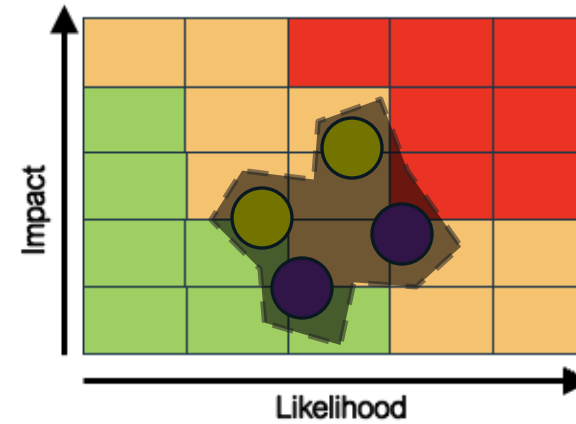
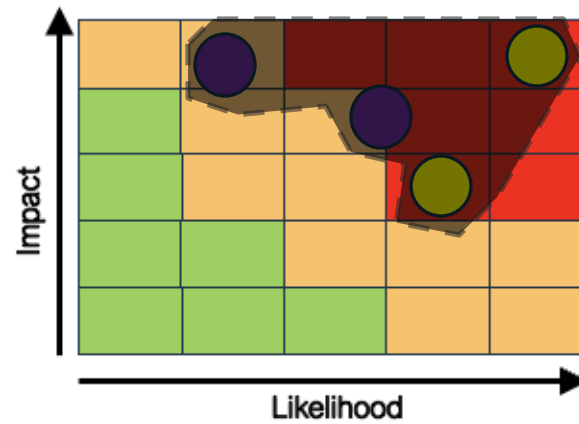
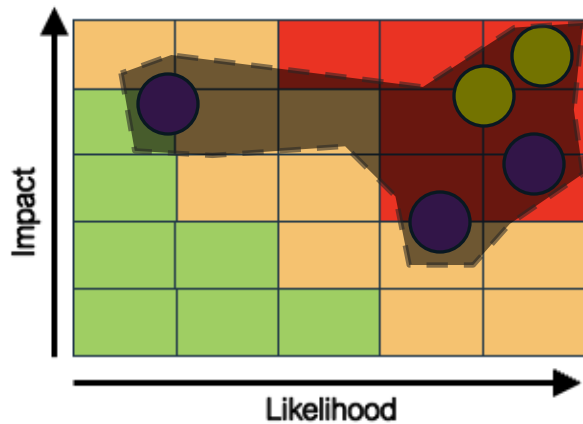
Atlas' Country Security Assessment

Bolivia

Ecuador

Peru

Chile





Operational Mitigation Measures

– Atlas' Mitigation Strategy Recommendations



	Bolivia	Ecuador	Peru	Chile
Industrial risk areas	Large, Central Cities	Border-, Coastal-, and Andes Regions	South-East around Puno & Apurimac	Northern Chile
Main risk	• Violent Protests • Extortion • Social Unrest • Street Crime	• Internal Armed Conflict • Violent Extortion • Kidnapping	• Social Unrest • Illegal Mining • Street Crime	• Street Crime • Organized Crime • Social unrest
Mitigation measures	• Discreet vehicles and personnel • Armoured personnel • Community outreach and dialogue	• Choose Industrial sites with close proximity to law enforcement • (trusted) Private Security Services • Strict Adherence to Local Government SoE Advice/Updates	• Alternate routes & security trainings • Focus on local community relations	• CSR Initiatives • Security training and awareness programs • Physical and operational protection (security of transportation and alliances with local authorities and private security forces)



Operational Mitigation Measures

– Atlas' Mitigation Strategy Recommendations

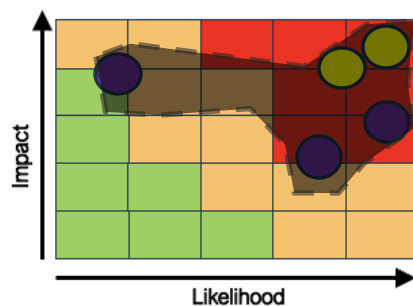


 Collateral Risks

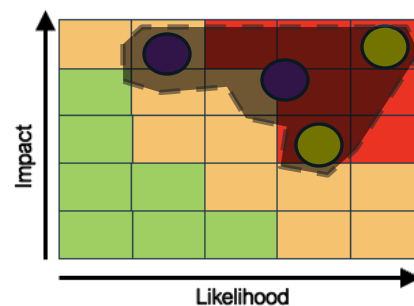
 Direct Risks

 ATLAS' Country Security Assessment

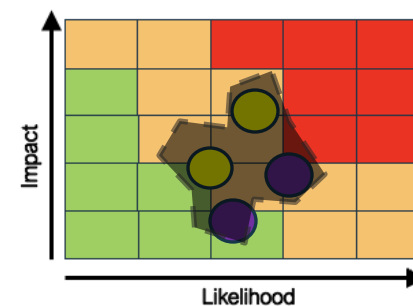
Bolivia



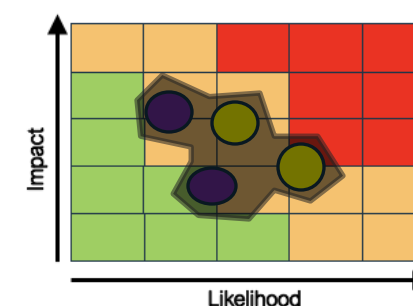
Ecuador



Peru

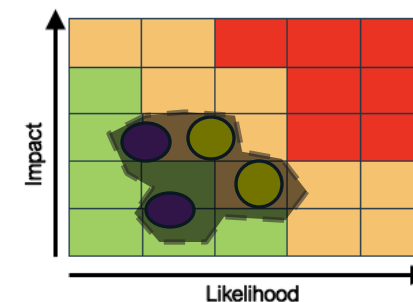
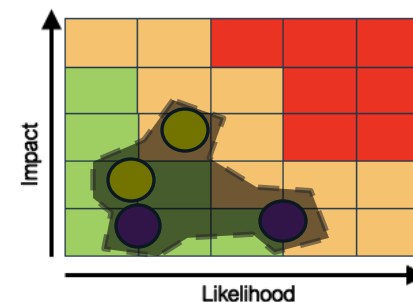
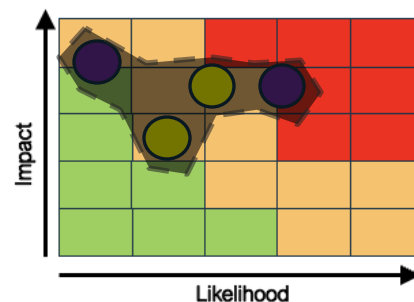
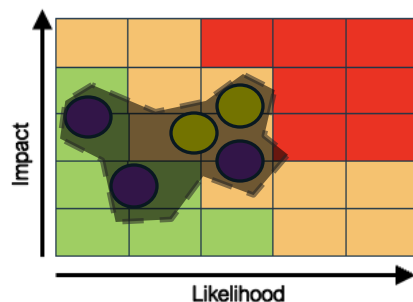


Chile



Status Quo

ATLAS'
Mitigation
Measures



Guarding Tomorrow, Today.



Hecla Mining Co.'s Journey

Inform



Train



Protect



Rescue



Next Steps: *Guarding Your Tomorrow,
Today.*



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